



Purpose leads the way forward

LEADING with

2019 Annual Report

PURPOSE

Stock code 1299

Our Vision

our vision is to become a global leader Life Insurance Provider.

our goal It is promoting the regional economy and in the process of social development Take on a leadership role.

Our Business

AIA Holdings Limited and its Affiliates (collectively, "AIA" or "The Group") is the largest pan-Asian Independently listed life insurance group covering 18 markets in Asia Pacific, including Hong Kong Special Administrative Region, Thailand, Singapore, Malaysia, Mainland China, South Korea, Philippines, Australia, Indonesia, Taiwan, China, Special trip to Vietnam, New Zealand and Macau Administrative Region, Brunei Darussalam, Cambodia and Myanmar There are wholly-owned branches and subsidiaries, 99% interest in Sri Lanka subsidiary and a 49% interest in the Indian joint venture.

AIA's business achievements today can be Dating back to 1919 a century ago in The birthplace of Shanghai. According to life insurance premium Computing, the Group operates in Asia Pacific (Japan (except) leading the industry and operating in most markets The field firmly occupies a leadership position. As of 2019 As of December 31, the group's total asset value was \$284 billion.

AIA offers a range of products and Services covering life insurance, accident and medical Insurance and savings plans to suit individuals Customers' long-term savings and protection Needed. In addition, the Group is also an enterprise Client provides employee benefits, credit insurance and retirement security services. The group through A large number of exclusive agents throughout the Asia-Pacific region, A network of partners and employees for more than 36 million individual policy holders and more than 16 million group insurance plans Provide services to participating members.

AIA Holdings Limited in Hong Kong Listed on the Main Board of The Stock Exchange Limited (Stock code: "1299"); Qimei National Depositary Receipts (Level 1) off-market Buy and sell on the easy market (the transaction number is "AAGIY").

P.S.:
(1) The explanations and abbreviations of several terms used in this report are listed in the Glossary section.

Committed to promoting Asia's economic and social development



2015

AIA millions Roundtable membership reached The best in the world

1998

Celebrating our return to our original headquarters on the Bund, Shanghai Office building

1919

Steve Smith, founder of AIA Mr. Cornelius Vander Starr) established a company in Shanghai insurance agency, laid

The Group's roots in Asia.

1921

Mr. Shi Dai in Shanghai

Launched its first life insurance company EnterpriseAsia Life Insurance Company.

1931

Founded in Shanghai by Mr. Shi Dai A company called International Assurance Company, Limited (INTASCO) company. INTASCO in Hong Kong and Branch established in Singapore.

1947

Founded in the Philippines The Philippine American Life and General Insurance Company (Philam Life).

INTASCO moves its headquarters to Hong Kong.

1948

INTASCO changed its name American International Assurance Company, Limited.

1992

Through our Shanghai branch Resumption of business in China, Became the first company in China to obtain a license of foreign life insurance companies.

2009

We completed due to AIG There was a funding crisis in 2008 The structural reorganization caused by For the company's listing plan Lay the foundation.

2010

AIA Insurance Holdings Limited Successfully listed on the Hong Kong Stock Exchange Ltd. listed on the main board, It was the third largest in the world at the time Initial public offering.



2011

AIA Insurance Holdings Limited Become a constituent stock of the Hang Seng Index. We have established a sponsor level American Depository Receipts Program.

2013

AIA completes deal with ING Comprehensive Malaysian Business Integrate.

Through our acquisition of Aviva NDB Insurance at Doing business in Sri Lanka.

2014

AIA and Citibank achieve a significant Exclusive long-term bank insurance Cooperation agreement covering the Asia-Pacific region 11 markets.

AIA became Tottenham Tottenham Football Club Official jersey partner, Promote exercise for healthy living important elements.

2016

Open AIA in Bangkok Leadership Centre.

AIA increases stake in India Joint venture Tata AIA Life Insurance Company Limited shares, increased from 26% to 49%.

2017

Presented by AIA Hong Kong Ferris wheel and "AIA VITALITY Park".

2018

AIA launches new Brand promise: healthy and long-lasting Good life.



Our 100th anniversary marks AIA's Became the largest independent listed life insurance company in Pan-Asia The century-old journey of the insurance group. We are in the area Organize to support local charities and special acts of kindness activities and physical challenge days to celebrate our Centenary.

We will continue to practice a healthy and long-term good life Commitment to promote economic and social development in the region Taking process as the goal, leading the industry to move forward Move forward.



AIA celebrates its 100th anniversary

2019

AIA's century-old journey bears witness to its pioneering spirit. The continuing development of spirituality over the past century. Gradually develop into the largest independent Listed life insurance group, business coverage area 18 markets. In 2019, we celebrate the 100th anniversary of "Zhiqing" as the theme, in the AIA business location markets host events to support local charities organizations and other charitable causes.

AIA in Mainland China Added new market
AIA and Commonwealth of Australia Banks implement joint cooperation Agreement and extension of strategic partnership Relationship to 25 years.

Based on the trial of promoting the coordinated development of the insurance industry in Beijing, Tianjin and Hebei point arrangement, AIA in Tianjin City and Hebei Province A marketing service department was opened in Shijiazhuang City.

AIA is approved to be 100% wholly-owned in Myanmar Owned subsidiaries conduct business. us It was put into operation in November 2019 and became The first local foreign-funded life insurance company to issue insurance policies.

AIA and Tottenham Hotspur Football Club extend extension Its partnership runs until the 2026/27 season Finished. Tottenham players will continue to show off their attire AIA-branded jerseys are used in all football matches.

AIA is approved to operate in Myanmar business
AIA becomes the only multinational insurance company in the world Company has the most MDRT members for five consecutive years Member.

AIA for the fifth consecutive year Ranked in the MDRT rankings Top of the list

AIA at a glance

The only company in the world headquartered in Hong Kong, listed in Hong Kong and 100% focused on Asia Pacific international life insurance company

Business

More than 14 million payments Helping clients and their families cope Challenges at different stages of life

to exceed 36 million copies Individual policy holders and

Recorded

P.S.: (1) As of March 12, 2020, the world's largest life insurance company by market capitalization.



Directory

009 Report from the Group CEO and President

Financial and Operational Review

064 Regulatory and International Development

066 Our team

071 Director Responsibility Statement

080 executive committee

085 Board report

Financial Statements

125 Independent auditor's report

132 Consolidated Statement of Income

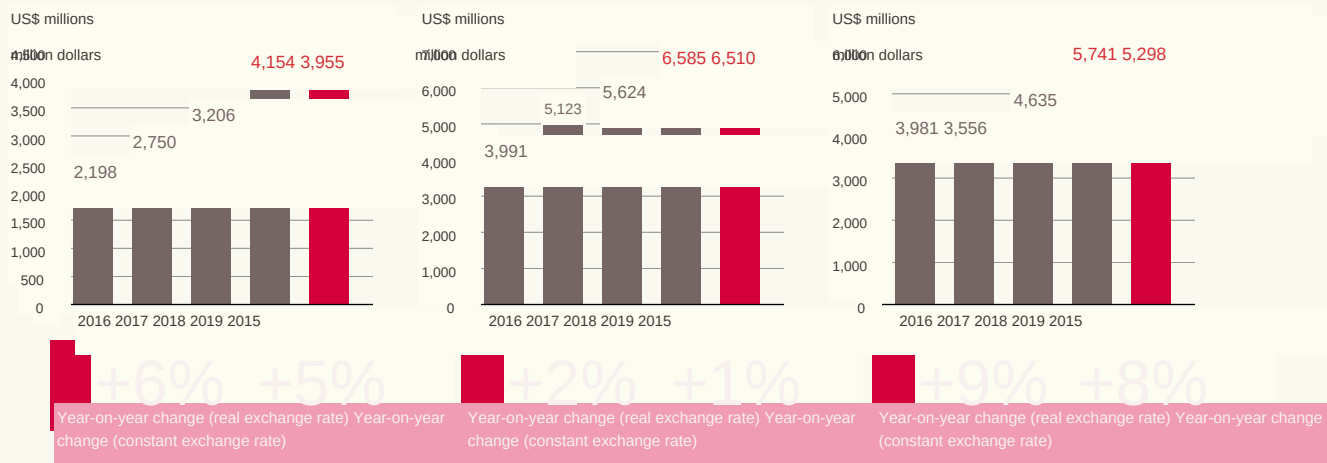
133 Consolidated Statement of Comprehensive Income

134 Consolidated Statement of Financial Position

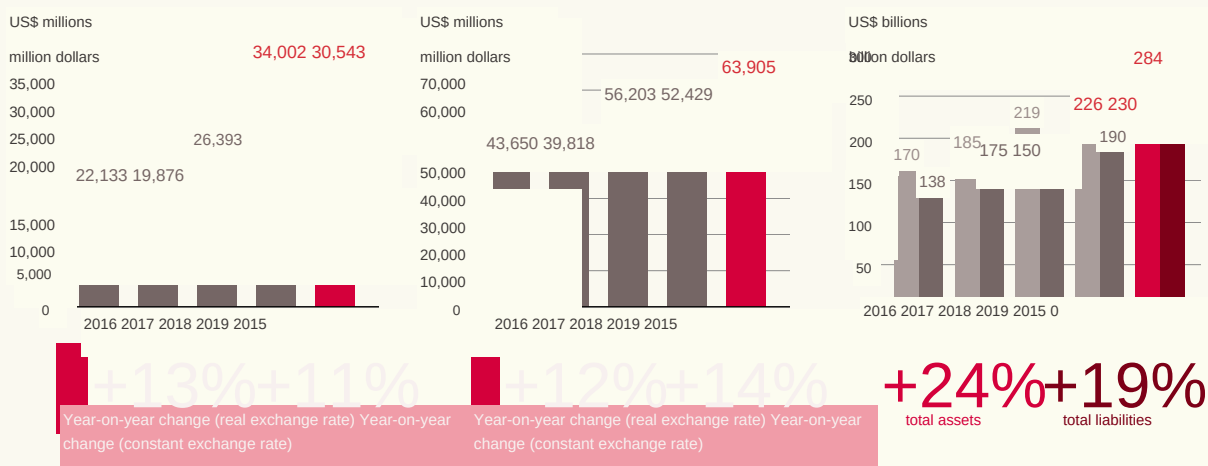
136 Consolidated Statement of Changes in Equity

138 Consolidated Cash Flow Statement

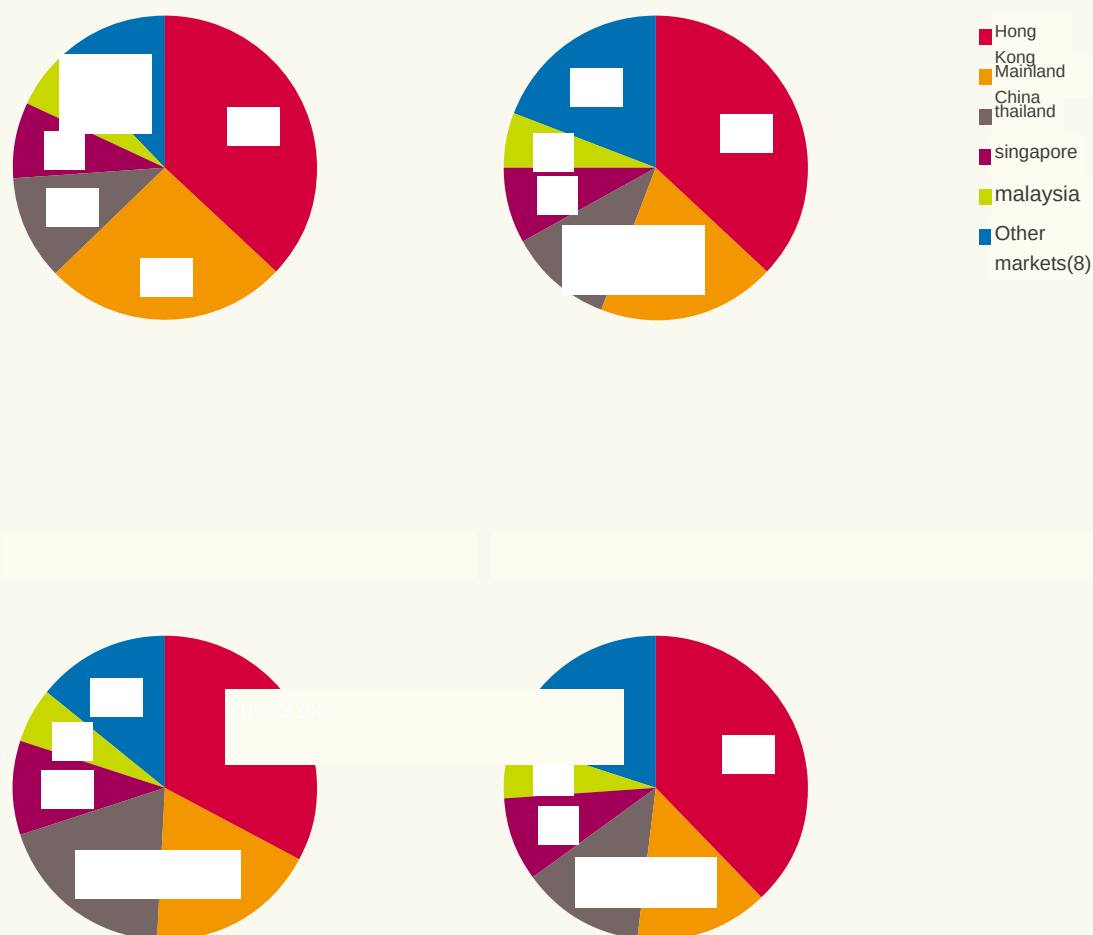
2019 performance overview (1)



Total weighted premium income(5)



By Market Segment, 2019



P.S.: (1) Financial information from 2017 to 2019 is based on the fiscal year ending on December 31 Presentation. Financial information for 2015 to 2016 is based on the fiscal year ended November 30 Baseline presentation. For clarity, growth rates are based on fiscal year ending December 31 Baseline presentation.

(2) The value of new business is the estimated statutory profit after tax generated in the future from the new business sold during the period The present value calculated at the time of sale is deducted from any excess statutory reserves held to support new business. The cost of the funds required.

(4) Operating profit after tax is presented net of non-controlling interests.

(5) Total weighted premium income includes 100% of renewal premiums before reinsurance cession, first-year premiums 100%, and 10% of the single premium.

(6) Intrinsic value is determined using actuarial methods based on a series of specific assumptions about future experience. The estimated economic value of life insurance business, but does not include the economic value of any future new business. Intrinsic value equity is the sum of intrinsic value, goodwill and other intangible assets.

(7) The new business value of each segment includes pension business, which is presented based on local legal basis and is not included in Group headquarters expenses are not allocated and non-controlling interests are not deducted.

(8) In 2019, annualized new premiums and new business value in other markets included our joint venture Tata AIA Life Insurance Company Limited (Tata AIA Life) 49% of performance to reflect our equity holdings. Annualized new premiums reported in 2018 and new business value are not restated and excludes any Contribution. The overall new business value reported by the Group in 2019 does not include non-controlling The value of new business attributable to equity. The value of new business in 2018 has not been restated, as previously reported As disclosed in the 2018 annual report, this figure was reported without deducting non-controlling interests. Tata AIA Life's IFRS results are calculated using the equity method of accounting. of the Group The consolidated financial statements use Tata AIA Life's financial information on a lagged one quarter basis. For clarity, total weighted premium income excludes any contribution from Tata AIA Life.

Chairman's report

AIA has a long history in Asia and has experienced many different market cycles.

A stable and reliable brand has been established. Despite the challenging operating environment, AIA

With the strength and tenacity of our business and the scale of AIA's opportunities in Asia Pacific,

During the year, consumer confidence was affected by different geopolitical events, including uncertainty over Sino-US trade negotiations and social unrest in Hong Kong. in this background
Next, AIA continued to record growth across all major financial indicators.

Despite the headwinds from the external environment, especially the events in Hong Kong, the value of new business increased to US\$4.154 billion; excluding business in Hong Kong, the Group's New business value rose 16%. Operating profit after tax increased by 9% to US\$6.741 billion, while underlying free surplus increased by 13% to US\$5.501 billion.

Growth rates are presented at constant exchange rates to provide a clearer picture of the performance of the underlying business on a year-on-year basis.

On an embedded value basis, equity attributable to shareholders of AIA Holdings Limited (the Company) (embedded value equity) increased by 12% during the year to US\$63.905 billion. As of December 31, 2019, our principal regulated operating company AIA Co.

The solvency adequacy ratio of the Group was 362%, and the Group's free surplus in excess of the required regulatory capital reached US\$14.917 billion, reflecting the Group's financial strength.

The Board of Directors (Board of Directors) composed of directors of the Company recommends the payment of a final dividend of HK93.30 cents per share, adhering to AIA's long-established principles of prudence, sustainability and The progressive dividend payment policy allows the Group to seize future growth opportunities and maintain financial flexibility under the current macroeconomic and capital market environment.

The long-term development opportunities for AIA in the Asia-Pacific region are huge: as the number of people in the region with middle-class incomes and lifestyles increases, their appetite for

The need for savings and financial security will continue to rise. At the same time, under-insurance remains significant across Asia, and governments in many markets

Multiple customer needs protection is provided. This "protection gap" provides important opportunities for AIA, the leading life insurance group in the pan-Asian region.

2019 marks AIA's 100th anniversary, and everyone in our group is proud of it. Since the story of AIA began in Shanghai in 1919, to the latest

Our business in Myanmar was put into operation in November 2019, and we held various activities in the 18 markets covered to celebrate this significant milestone.

Our employees and their families joined in the celebrations, along with AIA's customers, friends and partners, including representatives from Tottenham Hotspur Football Club (Tottenham Hotspur)

Our extraordinary journey. On behalf of the Board of Directors, I would like to express my sincere gratitude to all AIA's customers, employees, agents and partners who have made great contributions to the Group and move forward with confidence into the next century. Since then, our dedicated efforts and unremitting efforts have created the outstanding achievements of the Group today. AIA's 100th anniversary gives us an opportunity to thank the past and present



Mr. Xie Shirong Independent
non-executive chairman

AIA understands that climate change poses serious, large-scale and complex challenges, so we are committed to doing our part and transitioning to a more sustainable future.

Our efforts to address and enhance relevant disclosures on critical environmental, social and governance issues have earned us international recognition.

In 2019, AIA was selected by rating agency Sustainalytics to be among the top one percent of companies with the best performance in environmental, social and governance risk management.

Ranked second among 253 companies. In addition, we have been included in the FTSE4Good Index Series for the third consecutive year.

Since 2018, AIA has joined the Task Force on Climate-related Financial Disclosures.

The global organization works to establish a voluntary and consistent disclosure framework on the impacts of climate change. In 2019, we used this to match the

1,400 companies, and more than 30 external investment managers were contacted to learn more about how these companies manage climate change risks.

Our Group Chief Executive Officer and President, Mr. Ng Keng Hooi, will retire on May 31, 2020. On behalf of all members of the Board of Directors, Made significant and far-reaching contributions.

My heartfelt thanks to Mr. Huang for his service to AIA since the listing of the Group, during his tenure as Group CEO and President and previously as Regional CEO.

I also welcome Mr. Li Yuanxiang, the Group Chief Executive Officer and President-designate, to join the Group. Mr. Li has an outstanding leadership track record in the industry and possesses excellent

Conditions to continue and expand on Mr. Huang Jinghui's outstanding work as the Group's CEO and President. Mr. Li Yuanxiang's appointment was carefully reviewed by AIA

Successor selection process to appoint the best candidate to take over Mr. Huang's work. We expect that under Mr. Li's leadership and contributions, AIA will continue to
Living up to its brand promise in Asia.

As the Group enters the transition period of executive leadership, the Board will continue to uphold the highest standards of corporate governance. All non-executive directors on the board

They are all independent individuals who bring extensive governance and executive experience to the work of the Board. We adopt effective governance policies and cooperate with AIA

Efforts to promote corporate culture enable us to effectively manage risk in an increasingly complex environment. In addition to focusing on sustainable development, we also continue to

Coordinate closely with senior management on data privacy, cybersecurity and ethical business practices.

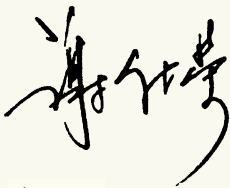
In the first quarter of 2020, the world faced the uncertain impact of COVID-19 and the measures to control its spread. most important to the Group's financial performance

The ultimate impact will depend on the duration and severity of the outbreak, and we are closely monitoring the situation. Restrictions on overseas travel coupled with reduced face-to-face communication,

It has had a significant impact on the Group's new business sales in the first quarter. We always value the health and well-being of our employees and regions. Our business teams are also committed to supporting the communities we serve during this difficult time.

I am confident that AIA is well-positioned to continue delivering long-term growth by serving our communities in Asia. We are in the promotion zone

The goal of assuming a leadership role in the process of economic and social development has also become more important. Thank you for supporting A long and good
life. "As in realizing our vision and helping customers live a "healthy" life."



Xie
Shirong
Independent non-executive
chairman
March 12, 2020

Report from the Group CEO and President



Mr. Ng Keng Hooi Group CEO
and President

Despite the challenging operating environment, AIA's key financial indicators improved Continue to record growth.

AIA's solid performance in 2019 is a testament to our diversified and high-quality business portfolio, as well as the market's strong demand for protection and long-term insurance in the markets in which we operate. There is growing structural demand for savings products.

The Group's overall new business value increased by 6%, reflecting very strong growth in the first half of the year. However, the performance in the second half of the year was affected by the social environment in Hong Kong.

Unrest has a significant impact. Excluding Hong Kong operations, the Group's overall new business value for the year increased by 16%. Operating profit after tax increased by 9%, resulting from basic

Free earnings increased by 13%, while equity attributable to shareholders of AIA Holdings Limited (the Company) on an embedded value basis (performance on embedded value basis) also increased strongly

basis, to \$63.9 billion, up 12% after excluding dividends. As in previous years, growth rates are presented at constant exchange rates to provide a clearer picture of the underlying industries.

The Board of Directors (Board of Directors) composed of directors of the Company recommends the payment of a final dividend of HK93.30 cents per share, adhering to AIA's long-established principles of prudence and sustainability.

and progressive dividend policy, allowing the Group to seize future growth opportunities and maintain financial flexibility under the current macroeconomic and capital market environment.

sex. The full-year dividend is HK126.60 cents per share, an increase of 11% from the full-year dividend in 2018 (excluding special dividends).

In 2019, some of the markets in which we operate faced many challenges, including declining consumer confidence and rising political and trade tensions. especially

It is the decrease in the number of tourists from mainland China in Hong Kong in the second half of the year that will have an impact on new business sales in our largest market. Despite the short-term impact on business, AIA

The long-term growth opportunities for insurance remain substantial and we will continue to benefit from the increasingly prosperous Asian markets, private insurance penetration and social

Benefit coverage will be low.

2019 marks AIA's 100th anniversary. The Group expresses its gratitude to all friends who have made dedicated efforts to promote economic and social progress in Asia over the past century.

Bang Insurance employees. Over the past century, AIA has successfully navigated dramatic economic and political changes to become one of the world's largest life insurance companies.

We are deeply proud of AIA's contribution to the development of local financial markets and the coverage and effectiveness of life insurance in the region. We are also grateful to the district

Millions of customers and their families build long-lasting relationships. In many cases, these trusting relationships span multiple generations.

AIA has its roots in Shanghai and China remains at the heart of our growth strategy. The Chinese government announced further measures to lift restrictions on foreign ownership and

Continuing to open up the life insurance industry will create a historic opportunity for AIA. We have submitted regulatory approval applications for converting our Shanghai branch into a subsidiary.

Please. Subject to regulatory approval, the newly established subsidiary will lay a new foundation for us to expand our business to other regions in mainland China.

The life insurance industry has the responsibility to promote the well-being of the community, provide support to them in times of economic hardship and critical illness, and use effective methods to

Pool savings to help them secure income in retirement. However, the Asian market's protection in terms of life protection, medical insurance, pensions and even retirement savings. These growing demands motivate us to continue to move forward, while also highlighting the huge growth potential of the markets in which we operate.

When it comes to well-being, I am particularly proud of AIA's industry leadership, which reflects our commitment to delivering on the AIA brand promise and helping the world

Let's all live a healthy, long-lasting and good life. We continue to transform from the traditional transaction-based insurance business model

and are committed to becoming a lifelong partner of our customers and helping them

They live healthier lifestyles, including through our comprehensive, scientifically data-based wellness program, AIA Vitality. This transformation is changing me

We have more and more contacts with customers in the region. I believe that inspiring people to improve health and wellness benefits AIA, our customers and our communities

Bringing a win-win

situation.

With AIA's trusted distribution strength, market-leading brands and long history in Asia, we can provide customers with assurance and protect their future.

Come health and financial security. AIA is the leading life insurance company in the pan-Asia region and we will continue to build on this position, led by a dedicated team

Remain focused on executing our clear growth strategy and maintaining our competitive advantage.

2019 Performance Summary (on a constant currency basis)

Our business in Hong Kong recorded a 5% decline in new business value to US\$1.621 billion, with strong growth in the first half offset by mainland China arrivals in the second half. Onset by a significant decline in customer base. Throughout the year, our agency business recorded double-digit growth in new business value from local customers in Hong Kong, as we focused on "the most The basis of the "Excellent Agent" strategy brings an increase in the number of active agents. The value of new business in the partner distribution business decreased in the second half of the year, mainly due to Sales from local visitors to Hong Kong were lower and competition intensified. Operating profit after tax increased 6% to US\$1.931 billion.

The business in Mainland China once again recorded very strong performance. New business value increased 27% to US\$1.167 billion, while new business value margins remained strong. Strong, reaching 93.5%. Our unique "Best Agents" strategy continues to drive growth in new and active agents. In 2019 7 In March, we successfully added marketing service departments in Tianjin and Shijiazhuang, Hebei Province. This is the first time in 17 years that we have expanded our business geographically in mainland China. After tax Operating profit increased by 28% and exceeded US\$1 billion for the first time.

New business value for our Thailand operations increased 6% to US\$494 million, driven primarily by sales momentum from our Financial Advisor program and our partnership with

Supported by a strategic long-term partnership with Bangkok Bank Public Company Limited. Overall new business value margin guaranteed

It remained strong at 67.7%, but it reflected that the proportion of bancassurance business increased compared with the previous year. Due to the growth of related businesses and improvement in renewal rates, after-tax operating Shipping profit increased by 3%, partially offset by lower bond yields and higher medical claims.

In Singapore, new business value was US\$352 million, which remained stable compared with the previous year. The growth in regular premium sales was supported by the growth of lump sum insurance through partner distribution channels. offset by lower fees. Executing the "Best Agent" strategy achieves an increase in the number of active agents and enables us to maintain our market leading agent distribution. A. delivers double-digit new business value growth thanks to insurance sales professionals

Increased headcount and increased productivity. Operating profit after tax increased by 6%.

Our business in Malaysia recorded new business value growth of 7%. Supported by the launch of a new high-quality recruitment platform, the agency channel recorded double-digit figures

of new business value growth. Although our strategic partnership with Public Bank Berhad has generated strong new revenue through branch The increase in business value was offset by lower new business value in our direct sales channels and enterprise solutions business. Operating profit after tax increased by 6%.

Other markets recorded very strong growth, with new business value rising 27% to US\$535 million, mainly driven by Australia, the Philippines and Vietnam. us

The contribution of the Indian joint venture Tata AIA Life has been included in the calculation of new business value for the first time, which is 2% to US\$823 million, mainly due to profit contribution from strong new business growth, but partly affected by South Korea's weaker operating experience and consistent with our 49% shareholding ratio. After-tax operating profit increased Australia's response to various offset by increased operating expenses resulting from regulatory changes.

We signed a Joint Cooperation Agreement with the Commonwealth Bank of Australia in November 2019 to provide effective management supervision.

It also extended its strategic bancassurance partnership with Commonwealth Bank of Australia in Australia to 25 years. In Myanmar, our 100% wholly owned subsidiary was put into operation in November 2019.

Group overview

We continued to implement the "Best Agent" strategy, resulting in an 11% increase in agent new business value to US\$3.243 billion in 2019. Not included in Hong Kong business agency.

Exits business value increased by 18%. AIA provides exclusive training, tailor-made innovative digital tools, and clear career development paths.

Path is the basis for attracting and retaining the best talents. In 2019, AIA's MDRT membership reached another record high, with a relatively high number of registered members.

An increase of 22% in 2018. AIA has had the largest number of MDRT members in the world for five consecutive years.

AIA has an extensive network of industry-leading strategic partners covering the entire Asia Pacific region, significantly expanding our access to potential new customers and providing

Huge growth opportunities. In 2019, the value of partner distribution new business decreased by 1% to US\$1.142 billion, due to the decline in the number of tourists from mainland China in the second half of the year.

There are few, which will have an impact on Hong Kong's retail independent financial advisory business. Excluding Hong Kong business, partner distribution new business value increased by 19%.

Our strategic partnerships in the Philippines and Indonesia delivered excellent results, enabling the Group's bancassurance channel to record very strong new business in 2019.

Great contribution. In the past three years, we have launched a number of new bancassurance partnerships in Vietnam, Thailand and New Zealand, adding new business value to the bancassurance channel.

Our regional partnership with Citibank continued to grow and continued to drive the most new business value for the Group's bancassurance business in 2019.

significant contribution to growth. The strong momentum in these markets reflects our ability to quickly launch new partnerships by drawing on the experience gained from the Group's other regional operations.

partnerships and achieve better results.

Branding and Marketing

Leveraging on AIA's long history in the Pan-Asian region, AIA has now developed into the largest pan-Asian life insurance company with Asia's leading insurance products.

brand, trusted by millions of customers. Our goal leads our commitment - to bring positive results by helping people live a healthy, long-term and good life.

This includes AIA Global Ambassador David Beckham and key global partnerships with Tottenham Hotspur Football Club, Tottenham Hotspur). Influence is particularly true in today's society, and it is also the core concept of our customer service. We continue to work with a range of partners to promote healthy living.

To help customers improve their health and well-being, AIA has established a unique strategic framework in risk assessment, prevention, diagnosis, and treatment.

We provide support to customers throughout their health journey. "AIA Vitality" and our wellness programs encourage clients to practice good lifestyle habits to cope with

The Group's total health plan membership exceeded 17 million, an increase of 42% from the end of 2019. As of the end of 2019, the Group's health plan membership exceeded 17 million, an increase of 42% from the end of 2019.

Our brand promise, partnerships and wellness programs are the strengths that AIA employees and distribution are most proud of. Not only through various education and

The outreach program promotes a variety of health and wellness issues in the region, while also improving the effectiveness of treatments and providing urgently needed services by significantly improving the health of clients.

financial protection and create value for customers.

Technology and operations

Our approach to investing in and leveraging new technologies is to deliver significant value and enhance capabilities, thereby increasing efficiencies and improving service to customers, employees and distribution. Services, improve productivity and optimize experience.

In 2019, we significantly enhanced our ability to support customers in conducting transactions digitally and automated many of the back-office business processes associated with these services.

Across all the markets in which we operate, more than 80% of customer interactions are now conducted digitally. In addition, on all new policies Of these, more than 90% were submitted digitally, and automatic underwriting accounted for 62%.

We continue to optimize our proprietary agent tools and platforms to increase productivity and provide easy and direct support for key activities, including sales activity management, service and recruitment. Our digital recruitment platform provides content and functionality tailored to each market's unique recruiting programs and client initiatives.

In addition, we began the digital transformation of strategic bancassurance partners, using data analysis to further enhance the end-to-end customer experience and optimize the search for new Sales targets and increase sales conversion rates. We are implementing measures across the Group to rapidly expand and further optimize these tools.

As the technology we use increases day by day, the Group continues to attach great importance to cyber security. We continue to make significant investments in cybersecurity measures, including establishing internal In-depth forensic investigation capabilities, as well as the hiring of independent external consultants, ensure the Group's data security and test and verify the Group's measures to prevent cyber threats. degree of stability.

People-oriented

Attracting and retaining top talent and empowering future leaders remain key to AIA's continued success. AIA upholds our philosophy

The principle of luck: "Use the right people, use the right method, do the right things...results will follow." We have cultivated the talent for more than 23,000 employees and tens of thousands of agents. A learning-focused, collaborative culture.

In 2019, we launched customized leadership development courses to help leaders at all levels of the Group develop their talents. AIA Leadership Center

(ALC) continues to provide best-in-class talent development programs to our senior leaders, top agency executives and key partner executives. ALC

It has entered its fourth year since its opening; in 2019, ALC held more than 250 events. ALC was awarded the prestigious European Management Development Foundation (European Foundation for Management Development) Insurance is the only life insurance company in the world to receive this Foundation for Management Development) to recognize the outstanding performance of the AIA Leadership Development Program. Currently, AIA

AIA's proactive reflection of its brand promise and an inclusive work environment that engages employees are core elements of our talent recruitment and retention strategy. I like it

However, according to the report, our performance in Gallup Q12 (Gallup Q12) annual employee engagement indicator survey has enabled the Group to rank among the top 10 in Gallup Global Finance for the third consecutive year.

Loyalty to AIA.

Top quartile of services and insurance industry benchmarks. In addition, in 2019, the number of eligible employees participating in the long-term employee stock purchase plan reached a new high, which is a testament to the

In addition, AIA was listed in Forbes "Global 2000-The World's Best Employers 2019"

list), and the company was selected as a component company of the "Bloomberg Gender-Equality Index" for the third consecutive year.

prospects

In 2019, Asian economies continued to record solid growth, with the exception of Hong Kong, which was affected by social unrest in the second half of the year. Entering the first year of 2020, During the quarter, the lower interest rate environment and COVID-19 created headwinds in many of the markets in which we operate. It is expected to have a short-term but significant impact in the short term. The pace of economic recovery and its long-term impact are still unknown, but will depend on the duration and severity of the outbreak, as well as related control measures. Policymakers are now taking action to introduce targeted measures to support businesses, including tax cuts and providing additional fiscal support to reduce the financial impact on personal income.

AIA is closely monitoring developments. We have not noticed any unusual claims settlement situations in mainland China so far. As we accelerate our digitalization efforts, With the measures taken, the agency recruitment pipeline remains strong. However, travel restrictions and the general public's reluctance to conduct face-to-face meetings have affected the Group's new performance in the first quarter. Business sales had a significant impact.

At this time, I am proud of the resilience and determination of AIA employees in the face of difficult situations. In affected areas, our local operations continue to support communities. Assistance includes increasing benefits and accelerating claims settlement procedures, as well as providing practical support to the public. Our support for families affected by this public health emergency. Deepest condolences to the family and community.

Despite short-term uncertainties, strong domestic factors driving demand, coupled with key demographic trends in Asia, remain a long-term future for AIA's business.

The long-term outlook provides positive structural support. With incomes continuing to grow, private insurance penetration rates low, and social welfare coverage limited, friends The demand for Bang Insurance products will continue to grow.

I will be retiring later this year and I firmly believe that AIA is well-positioned to capture future long-term growth. I also believe that, as always, AIA's

Outstanding results will create significant value for our customers, investors, employees and communities.

What truly sets this extraordinary company apart is the depth and quality of AIA's employees, agents and partners, whose hard work and dedication

ambition, allowing us to optimize the way we connect with our customers. They have been the cornerstone of AIA's success, both in the past and in the future. Mr. Li Yuanxiang would like to express my sincere gratitude to them.

I am deeply grateful to be able to lead such an outstanding team to witness the first centenary celebration of AIA's development history and to jointly move towards the beginning of its second century.

Honored. I believe the next century holds enormous potential for Asia and for our Group. I am very pleased that Mr. Li Yuanxiang will take over as Group Chief Executive Officer and President, I firmly believe that under the leadership of Mr. Li Yuanxiang, AIA will be able to build on the past and make further progress in the future.



Ng Keng Hooi

Group CEO and President

March 12, 2020

Financial and Operational
Review Financial and

Operational Review

064 Regulation and International Development

066 Our team

038 Business Review

056 Risk Management



Mr. Garth Jones Group Chief
Financial Officer

Despite the challenging operating environment, AIA still recorded solid performance in 2019.

All major financial indicators recorded sustained growth. We achieve new business value growth, international

FRS solid growth in operating profit after tax and underlying free surplus generated and
Double-digit growth in intrinsic value.

AIA is the largest pan-Asian listed life insurance group, with business covering 18 markets in the Asia-Pacific region. The vast majority of our premiums are charged in local currency

We closely match our local assets and liabilities to minimize the economic impact of foreign exchange movements. As we report in U.S. dollars, the Group

Provides growth rates and comments on operating performance at constant exchange rates. More clearly illustrate the year-on-year performance of the relevant business rates. Otherwise stated, we have